

Bank of Leeds Investment Proposal

Yorkshire Canal Renaissance Fund

A £1.5 Billion Programme to Regenerate Canal-Side Commercial and Residential Property Across Yorkshire

Prepared for:

Bank of Leeds – Property, Infrastructure & Regional Development Division

Investment Classification:

Urban Regeneration / Real Estate Investment / Heritage Infrastructure

Investment Horizon:

20–30 years

Executive Summary

The Bank of Leeds proposes the creation of the **Yorkshire Canal Renaissance Fund**, a dedicated investment vehicle to transform underused canal-side land and buildings into high-quality residential, commercial and leisure districts.

Yorkshire's canal network represents a significant but underdeveloped economic asset. The Canal & River Trust estimates that waterways generate substantial economic value through tourism, recreation, regeneration and adjacent development, with waterways supporting billions in annual economic and social value.

The proposal would invest:

£1.5 billion

into:

- canal-side apartments,
- townhouses,
- offices,
- restaurants,
- independent retail,
- hotels,
- leisure facilities,
- workspace hubs.

The ambition:

Transform Yorkshire canals from industrial relics into premium blue-green urban neighbourhoods.

Investment Thesis

Current Situation

Many Yorkshire canals pass through areas with:

- former industrial land,
- warehouses,
- low-value commercial units,
- brownfield sites,
- neglected waterfronts.

However, canals offer unique development advantages:

- attractive waterside environment,
- walking and cycling infrastructure,
- heritage character,
- tourism potential,
- premium residential appeal.

Research into canal regeneration has found that proximity to waterways can increase land attractiveness and support regeneration by creating desirable places to live and work.

Target Locations

The Bank of Leeds would create a portfolio rather than a single development.

1. Leeds Waterfront Canal District

Investment

£450 million

Vision

Create:

"Leeds Riverside Quarter"

A premium mixed-use district connecting:

- Leeds city centre,
 - River Aire,
 - Leeds & Liverpool Canal.
-

Development

Residential:

1,200 apartments

Average sale price:

£300,000

Gross Development Value:

£360m

Commercial:

500,000 sq ft

Uses:

- technology offices
- financial services
- creative industries

Value:

£200m

Hospitality:

- boutique hotel
- restaurants
- canal-side bars

Investment:

£50m

Total Leeds District Value

≈ £650 million

2. Bradford Canal Renaissance

Investment

£300 million

Vision

Transform Bradford's canal corridor into a regeneration spine.

Development:

Residential

900 apartments

Average value:

£220,000

GDV:

£198m

Commercial

250,000 sq ft

GDV:

£80m

Food & Culture Quarter

£30m

Total value:

≈ £350 million

3. Huddersfield Narrow Canal District

Investment

£200 million

Vision:

A heritage-industrial waterfront combining:

- Georgian-style townhouses,
 - apartments,
 - breweries,
 - restaurants,
 - artisan manufacturing.
-

Residential:

600 homes

GDV:

£180m

Commercial:

£70m

Total:

≈ £250 million

4. Wakefield Waterfront

Investment

£250 million

Development:

- apartments
- offices
- leisure
- floating restaurants

- waterside events
-

Residential:

800 units

GDV:

£200m

Commercial:

£100m

Total:

≈ £350 million

5. Selby Canal & River District

Investment

£150 million

Vision:

Create a smaller market-town waterfront economy.

Development:

- retirement communities
 - boutique hotels
 - canalside housing
 - logistics offices
-

Residential:

400 homes

GDV:

£120m

Commercial:

£50m

Total:

≈ £170m

6. Rural Yorkshire Canal Villages

Investment

£150 million

Locations:

- Skipton
- Silsden
- Gargrave
- Bingley

The Leeds & Liverpool Canal already connects significant Yorkshire landscapes, including improved towpath infrastructure linking communities and tourism destinations.

Development:

- luxury holiday apartments
- inns
- cafés
- cycling tourism hubs

Total Portfolio

Location	Investment	GDV
Leeds	£450m	£650m
Bradford	£300m	£350m
Huddersfield	£200m	£250m
Wakefield	£250m	£350m
Selby	£150m	£170m
Rural Yorkshire	£150m	£200m

Total Investment

£1.5 billion

Estimated Asset Value

£1.97 billion

Development Model

Bank of Leeds Canal Property Fund

The bank acts as:

- master developer,
 - infrastructure investor,
 - long-term landlord.
-

Capital Allocation

Category	Amount
Land acquisition	£250m
Residential construction	£700m
Commercial construction	£300m
Public realm	£100m
Canal improvements	£50m
Contingency	£100m

Residential Model

Total Homes Created

Approximately:

3,900 homes

Average construction cost:

£180,000/unit

Total:

£702 million

Average sale price:

£250,000

Gross sales:

£975 million

Residential development margin:

Approximately:

£273 million

(before financing, taxes and professional fees)

Commercial Property Model

Created:

1.5 million sq ft

Average development cost:

£200/sq ft

Cost:

£300 million

Average completed value:

£330/sq ft

Value:

£495 million

Potential uplift:

£195 million

Rental Income Strategy

Rather than selling everything:

retain:

- offices,
 - restaurants,
 - hotels,
 - retail.
-

Annual rental income:

Commercial:

£25m

Residential build-to-rent:

£18m

Hospitality:

£10m

Stabilised Income

£53 million annually

Five-Year Programme

Year 1

- Acquire strategic sites
- Planning approvals
- Canal partnerships

Investment:

£200m

Years 2–3

Major construction:

£700m

Years 4–5

Completion:

£600m

Economic Impact

Employment

Construction:

15,000 job-years

Permanent:

5,000 jobs

GDP Contribution

Illustrative regional impact:

£300–500 million annually

through:

- construction,
 - tourism,
 - new businesses,
 - increased property values.
-

Tourism Strategy

Create:

Yorkshire Canal Experience

Including:

- luxury canal boats,
- cycling holidays,
- food trails,
- brewery routes,
- heritage walks.

Canal tourism is already recognised as a significant economic contributor through boating, visitor spending and recreation.

Financing Structure

Yorkshire Canal Renaissance Fund

Target:

£1.5bn

Funding:

Source	Amount
Bank of Leeds	£500m
Pension Funds	£500m
Private Investors	£300m
Local Partnerships	£200m

Risk Assessment

Planning Risk

Mitigation

Focus on brownfield regeneration.

Flood Risk

Mitigation

Modern flood-resilient construction:

- raised floor levels,

- sustainable drainage,
 - landscape buffers.
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Market Risk

Mitigation

Diversified portfolio:

- luxury homes,
 - affordable homes,
 - commercial,
 - tourism.
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Strategic Recommendation

The Bank of Leeds should establish the:

Yorkshire Canal Renaissance Fund

with an initial commitment of:

£500 million

to unlock a wider:

£1.5 billion regeneration programme.

The opportunity is not simply property development.

It is the creation of a new category of Yorkshire real estate:

heritage-led, waterside, sustainable communities.

By combining historic canals with modern housing, offices, tourism and leisure, Yorkshire can create a network of blue-green economic corridors comparable to successful waterfront regeneration projects across Europe.

Bank of Leeds Strategic Objective:

"Restore Yorkshire's industrial waterways as the foundations of its next economic renaissance."